ACTIVE OR INACTIVE TRADER?

Nearly all (95 percent) of the millionaires we surveyed own stocks; most have 20 percent or more of their wealth in publicly traded stocks. Yet you would be wrong to assume that these millionaires actively trade their stocks. Most don't follow the ups and downs of the market day by day. Most don't call their stock brokers each morning to ask how the London market did. Most don't trade stocks in response to daily headlines in the financial media.

Do you define active investors as people who, on average, keep an investment for days? Of the millionaires we interviewed, fewer than 1 percent of those who own stock are in this league. How about weeks? Another 1 percent. Let's move up to those who, on average, hold on for months but less than a year. Fewer than 7 percent are "monthly" investors. Overall, only about 9 percent of the millionaires we have interviewed hold their investments for less than one year. In other words, fewer than one in ten millionaires are "active investors." One in five (20 percent) hold, on average, for a year or two; one in four (25 percent) hold for between two and four years. About 13 percent are in the four-to-six-year category. More than three in ten (32 percent) hold their investments for more than six years. In fact, 42 *percent of the millionaires we interviewed for our latest survey had made no trades whatsoever in their stock portfolios in the year prior to the interview*.

The so-called active investor is one of the more difficult types of millionaires to find for interview purposes. He may be an ideal target market for stock brokers. He certainly spends considerable amounts for brokerage fees related to his trading. But he represents a very small minority of the millionaire population. In fact, we have encountered more nonmillionaire active traders than millionaires who actively trade. How can this be possible? Because it is very expensive to buy and sell, buy and sell, buy and sell one's equity holdings each day or week or month.

Often, active investors spend more time trading than studying and planning their investments. Conversely, millionaires spend more time studying far fewer offerings. Thus, they can focus their time and energy —the resources needed to master their understanding of a much smaller variety of offerings in the market.

We have always been interested in studying the wealth accumulation habits of stock brokers. Compared with the members of other industries,